Laavin InfraScapes
Crafting Nature's Symphony

LIS

How the app works: recording data and what it changes

Written for people with no finance background. Money words from zero, what each entry does, and how to read every report. With examples and numbers.

Guide 2 of 2. Read it after "How to use the app".

Version 2.1.14

Contents

Start here (1): Money words, from zero 2

Start here (2): The five buckets 4

Start here (3): Two sides to every entry 5

Start here (4): Tax words, with everyday examples 6

Start here (5): The accounts the app keeps 7

1. The big idea 9

2. Five things every entry needs 11

3. Promised and paid are two different events 12

4. Recording a sale: the invoice 14

5. Recording money from a client 16

6. Credit notes and debit notes 18

7. Recording a purchase: the supplier bill 20

8. Recording an expense 24

9. Advance money for supervisors, and reimbursements 26

10. People: attendance, salary and advances 28

11. Loans, capital and transfers 30

12. Fixing mistakes, vouchers and closing the year 33

13. A worked example, with numbers 35

14. Which report reads what 37

15. Why two numbers may not match 39

16. Reading the reports, line by line 41

17. Questions beginners ask 44

18. Test yourself 45

19. Ten golden rules 46

Tip: if money words are new to you, read the five "Start here" chapters first. Then read chapters 1 to 3, and go to the chapter for the screen you are about to use.

Start here (1): Money words, from zero

You do not need any finance knowledge to use LIS. This section builds the few ideas you need, with everyday examples. Read it once and the rest of the guide becomes easy.

A tea stall explains most of accounting

Ramesh runs a tea stall. Watch what happens in one week.

Day	What happened	What it means in accounts
Monday	He sells tea for Rs. 500 and gets the cash. He buys milk and sugar for Rs. 300 and pays cash.	Income Rs. 500. Cost Rs. 300. Profit Rs. 200. Cash in hand went up by Rs. 200.
Tuesday	An office takes tea worth Rs. 1,000 and says "we will pay next week".	Income Rs. 1,000 today, even though he has no cash yet. The office now owes him Rs. 1,000.
Wednesday	He buys Rs. 400 of milk on credit. The shop says "pay on Friday".	Cost Rs. 400 today, even though he has paid nothing. He now owes the shop Rs. 400.
Friday	He pays the shop Rs. 400.	Cash goes down Rs. 400. He owes nothing now. His profit does not change, because the cost was counted on Wednesday.
Next Monday	The office pays Rs. 1,000.	Cash goes up Rs. 1,000. The office owes nothing. His income does not change, because it was counted on Tuesday.

That is the whole idea behind LIS. Business accounts only track four kinds of facts: what you earned, what you spent, what people owe you, and what you owe other people.

The seven everyday words

Income (or Revenue)	What you have earned from your work, counted when you send the bill. Not when the money arrives.
Cost (or Expense)	What you have spent to do the work, counted when the bill or claim is recorded. Not when you pay.
Profit	Income minus costs. It tells you if the business is making money.
Cash	Money you actually hold, in the cash box or the bank.
Owed to you	Money others still have to pay you, such as a client who has not yet paid an invoice.
Owed by you	Money you still have to pay others, such as a supplier whose bill is unpaid.
Capital	Money the partners put into the business from their own pocket.

THE MOST IMPORTANT THING TO REMEMBER

Profit is not the same as cash. A business can show a big profit and have an empty bank, if clients have not yet paid. LIS shows both, in different reports, so you can see the difference.

Start here (2): The five buckets

Every rupee in the app belongs to one of five buckets. Once you can name the bucket, you understand the report.

What we own
Bank, cash, money clients owe us

→

What we owe
Suppliers, GST, loans, salaries

→

Partners share
Capital put in, plus profit kept

Income
What we earned

→

Costs
What we spent

→

Profit
Income minus costs

The first three buckets describe the business on one day, like a photograph. This is the Balance Sheet. The last three describe what happened over a period, like a film. This is the Profit and Loss.

The one rule that never breaks

What we own
everything the firm has

→

equals
always

→

What we owe + Partners shar
who has a claim on it

Everything the firm has must belong to someone: either to people it owes, or to the partners. So the two sides are always equal. Here it is step by step with real numbers:

What happened	We own	We owe + Partners share	Equal?
1. Partners put in Rs. 10,00,000	Bank 10,00,000	Owe 0 + Partners 10,00,000	10,00,000 = 10,00,000
2. Bank gives a loan of Rs. 2,00,000	Bank 12,00,000	Owe 2,00,000 + Partners 10,00,000	12,00,000 = 12,00,000
3. A project earns a profit of Rs. 50,000, received in the bank	Bank 12,50,000	Owe 2,00,000 + Partners 10,50,000	12,50,000 = 12,50,000
4. A supplier bill of Rs. 20,000 is recorded, not yet paid	Bank 12,50,000	Owe 2,20,000 + Partners 10,30,000	Cost lowers the profit kept: 12,50,000 = 12,50,000

WHY THIS MATTERS TO YOU

You never have to make the two sides equal. The app does it, because every entry changes two things by the same amount. If the Balance Sheet ever shows a red "out by" message, something is wrong, and the Books health check tells you where.

Start here (3): Two sides to every entry

This is what "double entry" means. It sounds hard, but it is just "where did it come from, and where did it go".

Every entry in the books has two sides of equal size. Each side changes one of the five buckets.

What happened	One side	The other side
Client pays Rs. 50,000 into the bank	Bank (what we own) goes up 50,000	Money clients owe (what we own) goes down 50,000
We pay a supplier Rs. 20,000 we owed	What we owe suppliers goes down 20,000	Bank goes down 20,000
We spend Rs. 5,000 on office costs from the bank	Costs go up 5,000	Bank goes down 5,000
We send an invoice of Rs. 1,00,000 (no tax)	Money clients owe goes up 1,00,000	Income goes up 1,00,000

Where you will meet "debit" and "credit"

Accountants call the two sides "debit" and "credit". You will see these words in the Trial balance and in some downloads, so here is what they mean, with no rules to memorise:

- Debit and credit are only the names of the two columns. Every entry puts equal amounts in each.
- For things we own and for costs, a debit makes the number go up and a credit makes it go down.
- For things we owe, for the partners share and for income, a credit makes the number go up and a debit makes it go down.
- The Trial balance adds up every account. Total debits must equal total credits. If they do, the books are consistent.

Kind of account	Goes UP with a	Goes DOWN with a
What we own (bank, clients owe us, retention)	Debit	Credit
Costs (materials, salaries, office)	Debit	Credit
What we owe (suppliers, GST, loans)	Credit	Debit
Partners share (capital)	Credit	Debit
Income (revenue)	Credit	Debit

> **YOU WILL NEVER TYPE A DEBIT OR A CREDIT**
> LIS does this for you from the screens you fill in. This page is only so the words do not scare you when you see them in a report.

Start here (4): Tax words, with everyday examples

Four tax ideas appear in almost every entry. Each has a simple picture.

GST: collected for the government

Think of a toll booth. The booth collects the toll from you, but the money is not the booth's. It goes to the government. GST is the same. When Laavin sends a Rs. 1,00,000 invoice with 18 percent GST, the client pays Rs. 1,18,000. Rs. 1,00,000 is Laavin's income. The Rs. 18,000 is the government's, and Laavin holds it until it files its GST return and pays.

Input GST: the tax you paid when buying

When Laavin buys materials, the supplier also charges GST. That tax was paid on the way in, so Laavin can set it off against the GST it collected. Example: collected Rs. 18,000 on sales, paid Rs. 3,600 on purchases. Laavin only has to pay the government the difference: Rs. 14,400.

CGST, SGST and IGST: only a split

The GST rate is the same. Only the name changes by place. If you and the client are in the same state, the tax is split in two equal halves, CGST (centre) and SGST (state). If you are in different states, the whole of it is called IGST. Either way, 18 percent is 18 percent. LIS looks at the first two digits of the GST numbers to decide.

TDS: tax paid for you in advance

Some clients are required to keep back a small part of your bill (say 2 percent) and deposit it with the income tax department in your name. You do not receive that money, but it is not lost: it counts as tax you have already paid, and you claim it back when you file your income tax. So LIS records it as "TDS receivable", a credit you hold. The same thing works the other way when Laavin pays its own suppliers: Laavin keeps back a part and deposits it for them.

Retention: a security deposit

A client may hold back 5 or 10 percent of each bill until the whole project is finished and accepted, like a rental deposit. It is still yours, but you cannot ask for it yet. LIS keeps it in its own line so it is never mistaken for money that is overdue.

HSN and SAC codes

A code number printed on every invoice that says what kind of goods (HSN) or service (SAC) was sold, like a category label. The government uses it. You only need to copy the right code onto the invoice.

Start here (5): The accounts the app keeps

The app keeps a separate list, called an account, for each kind of thing. You will see these names in the Trial balance and ledgers. Here they are in plain words.

What we own

Account	What it means	Goes up when	Goes down when
Cash in Hand	Notes and coins in the cash box.	Cash received, or moved in	Cash paid out, or moved out
Bank	Money in your bank accounts.	Client payments, loans, capital in	Payments out, repayments, capital out
Money clients owe (Accounts Receivable)	Invoices sent and not yet paid.	An invoice is sent	The client pays
Retention held	Part of invoices the client keeps back until the work ends.	An invoice with retention is sent	The client releases it
TDS credit (TDS Receivable)	Tax clients paid in your name. A credit you hold.	An invoice with TDS is sent	Written off against tax
Input GST	GST you paid to suppliers.	A bill or expense with GST	Set off against GST you owe
Site imprest	Advance money a supervisor holds to spend.	You give an advance	They spend it or return it
Staff advances	Money given to workers, to be taken back from salary.	You give an advance	You recover it from salary

What we owe

Account	What it means	Goes up when	Goes down when
Owed to suppliers (Accounts Payable)	Bills you have not yet paid.	A bill is recorded	You pay it
Owed to employees	Money staff spent for the firm and are waiting to get back.	A reimbursable expense	You pay them back
GST payable	GST you collected, owed to the government.	An invoice with GST is sent	You pay GST, or set off input GST
TDS payable	Tax you kept back from suppliers, owed to the government.	A bill with TDS is recorded	You deposit it
Salaries payable	Wages earned by staff and not yet paid.	Wages for a period are saved	You pay the wages
Loans payable	Money you borrowed and have not repaid.	You take a loan	You repay the principal

Advances from clients	Money a client paid before you sent the invoice.	An early payment arrives	It is set against the invoice

The partners share, income and costs

Account	What it means	Goes up when	Goes down when
Partner capital	Money the partners put in, less what they took out.	A partner puts money in	A partner takes money out
Revenue	Income from your invoices, before GST.	An invoice is sent	A credit note is raised
Cost groups (10)	Employee and Labour, Materials, Equipment, Transport, Office, Site overheads, Marketing, Professional, Finance and Banking, General. Each type of cost (sub-head) belongs to one group.	A bill or expense is recorded, wages are saved, interest is paid	A correction is made

WHERE PROFIT LIVES

Profit is not an account. It is worked out as Revenue minus the ten cost groups. At the end of the year it is added to the partners share on the Balance Sheet.

1. The big idea

If you understand this one page, the rest of the app will make sense.

LIS is not a pile of separate lists. It is one system with three layers. You only ever work in the first layer. The other two fill themselves in.

You record
An invoice, a bill, an expense, a payment, a salary

→

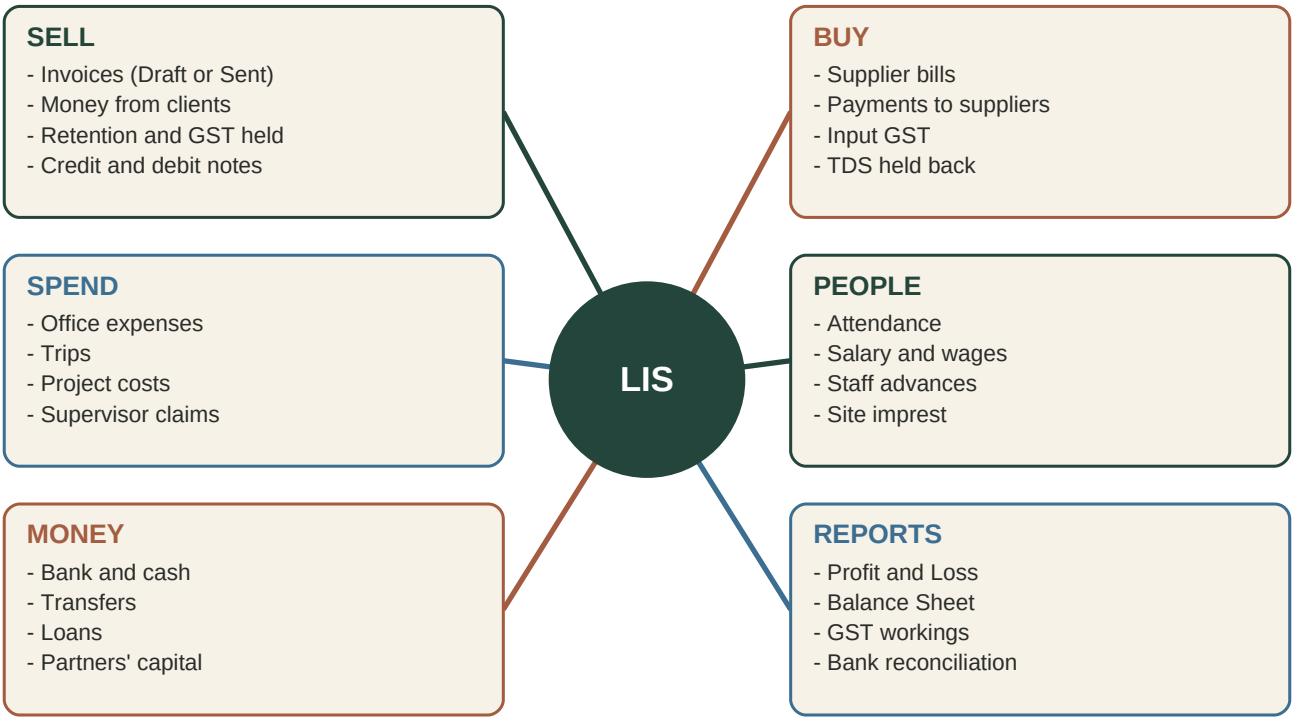
The books
The app writes each entry in the company's accounts by itself

→

Reports
Everything you read is added up from the books

A map of the whole app

Everything in LIS fits in one of six areas. Each area has its own screens, and every one of them feeds the same books.



The books, in one sentence

Every time money or a promise moves, the app writes down where it came from and where it went. Both sides are always written, and they are always equal. That is why the Balance Sheet balances, and why one entry can change several reports at once.

Three things that follow from this

- You enter each thing once, in the place it belongs. You never copy it into a report. The reports update on their own.
- You never change the books directly. You change the record (the invoice, the bill, the expense) and the app rewrites its entries to match. Edit or delete a record, and its entries change or disappear with it.
- If a number in a report looks wrong, the cause is almost always in a record: a wrong date, a missing choice, or something marked Draft. This guide shows where to look.

> **AN EXAMPLE IN ONE LINE**
> You save an invoice as Sent. Without you doing anything else, the client now owes you money, your income for the year goes up, GST payable goes up, the Dashboard changes, and the invoice appears in the GST workings.

2. Five things every entry needs

Whatever you record, the app wants the same five answers. Getting them right is 90 percent of keeping the reports right.

Question	Why it matters
What	What kind of thing happened: a sale, a purchase, an expense, a payment. You choose this by choosing the right screen.
When	The date. This decides which month and which year the entry belongs to. It is the most common cause of "the report is wrong".
How much	The amount. Tax is worked out by the app from the rates you give. Do not add the GST yourself unless the screen asks.
Who or which project	The client, supplier, staff member or project. This is what makes client ledgers, supplier ledgers and project profit possible.
Which account	Which bank account (or cash) the money moved through. If you leave the account empty, the app treats it as cash in hand.

Why the date matters so much

- Reports are cut by date: a month, a quarter, or the April to March year. An entry with the wrong date lands in the wrong period.
- Each entry is dated by its own date: an invoice by its invoice date, a payment by its payment date, a bill by its bill date, salary by the last day of the pay period.
- Once a year is closed, nothing dated inside it can be added, changed or deleted. A wrong date on a closed year cannot be fixed without the Admin opening the lock.

> **CHECK THE DATE BEFORE PRESSING SAVE**
> The date box often starts on today. If you are entering last month's bill, change it. This one habit prevents most mistakes.

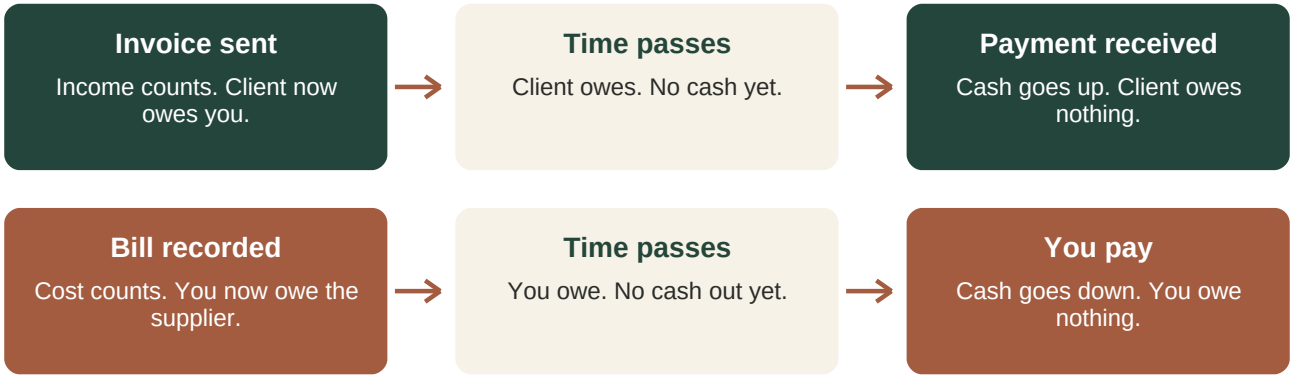
3. Promised and paid are two different events

This is the idea people find hardest, and the one that explains most reports.

Business has two steps for almost everything: the promise, and the payment. The app records both, separately, and each one changes different reports.

	Step 1: the promise	Step 2: the payment
You sell	You send an invoice (the promise to pay)	Client pays money into the bank (the payment)
You buy	A supplier bill is recorded (you now owe them)	You pay the supplier (you no longer owe them)
Salary	Wages for the period are worked out (you owe staff)	You pay the staff

Two timelines



What each step changes

- Profit moves at step 1. Income counts on the day you send the invoice, and a cost counts on the day of the bill or the approved expense. It does not wait for the money.
- Cash moves at step 2. The bank balance changes only when a payment is recorded.
- So an invoice you have not been paid for still counts as income, and a bill you have not paid still counts as a cost.
- And paying a supplier is not a second cost. The cost was counted when the bill was recorded. The payment only reduces what you owe.

> **THE SIMPLE TEST**
> Ask: "Did money move?" If yes, it is a payment or a receipt. If no, it is an invoice, a bill or an expense. Never record the same thing in both ways.

Three amounts that are not income or cost

- GST you charge on an invoice is not your income. You are holding it for the government, so it sits as GST payable.
- GST you pay on a purchase is not a cost. It is tax you can set against the GST you owe, so it sits as input GST.
- TDS a client keeps back from your invoice is not a loss. It is tax already paid for you, and you claim it back later. It sits as TDS receivable.

4. Recording a sale: the invoice

Sales > Invoices

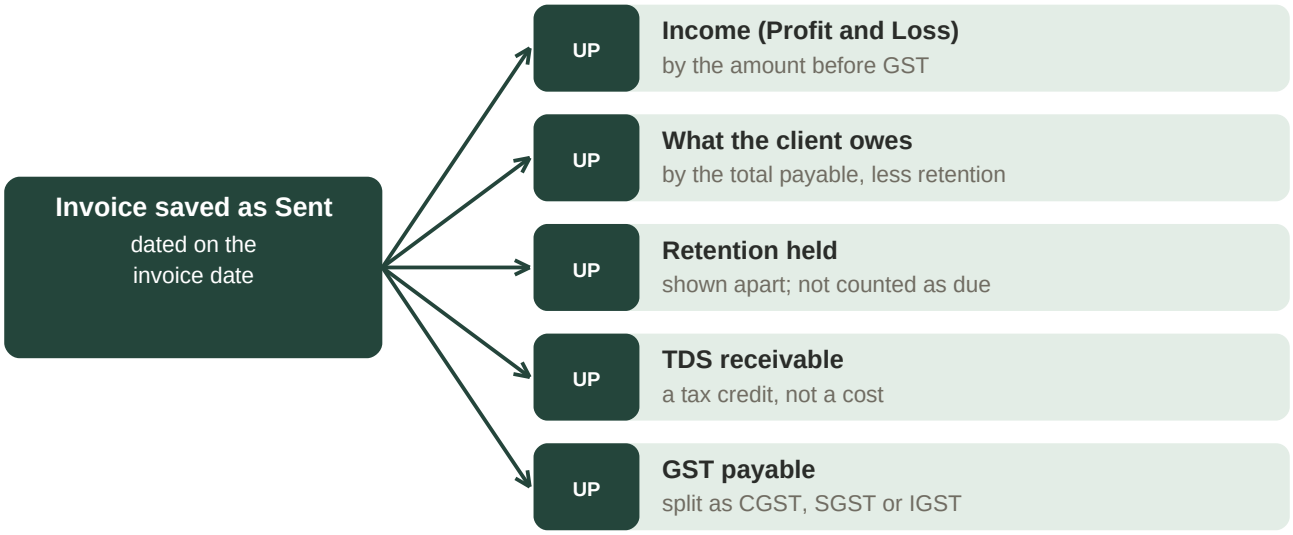
YOU TYPE

Client, project, invoice number, date, HSN or SAC code, description, amount before GST, GST rate, TDS rate, retention rate, days to pay, and the status (Draft or Sent).

WHAT THE APP DOES

1. Nothing happens in the books while the status is Draft. A Draft is a rough copy.
2. When you save it as Sent (with a date), the app works out: GST = amount x rate. TDS = amount x rate. Total payable = amount + GST - TDS. Retention = its share of the total payable.
3. It decides how to split the GST. If your GST number and the client's start with the same two digits (same state), the GST is split half CGST and half SGST. If they differ, it is all IGST. If a number is missing, the GST is shown as "not split".
4. It writes the entry on the invoice date.

WHAT CHANGES



REPORTS THAT CHANGE

Client report and client ledger, Dashboard (outstanding from clients), Profit and Loss, Balance Sheet, GST and TDS register, GST return workings, Project profitability, Trial balance.

EXAMPLE 1: A CLIENT IN THE SAME STATE

What you type	Example
Client	MKC Infrastructure (Delhi, GST number starts 07)
Project	Metro Station Landscaping
Invoice number and date	RA/MKC/12 and 05 Oct 2026
HSN or SAC code	9954 (construction services)

Amount before GST	Rs. 5,00,000
GST, TDS and retention rates	18 percent, 2 percent, 5 percent
Due in, status	30 days, Sent

The app works out	Result
GST: 5,00,000 x 18 percent	Rs. 90,000 (split as CGST 45,000 and SGST 45,000)
TDS: 5,00,000 x 2 percent	Rs. 10,000
Total payable: 5,00,000 + 90,000 - 10,000	Rs. 5,80,000
Retention: 5 percent of 5,80,000	Rs. 29,000
Due from the client now: 5,80,000 - 29,000	Rs. 5,51,000

WHAT THE BOOKS WRITE

Account (in plain words)	Goes up	Goes down
Money clients owe	5,51,000	
Retention held	29,000	
TDS credit	10,000	
Revenue (income)		5,00,000
GST payable, CGST		45,000
GST payable, SGST		45,000

Check: the first three lines add up to 5,90,000, and the last three also add up to 5,90,000. Both sides are equal.

Example 2: if MKC were in Haryana, the same invoice would put the whole Rs. 90,000 under IGST, and everything else stays the same.

WATCH OUT

- Forgot to mark it Sent: it is missing from income, the client ledger, and the GST returns.
- Wrong invoice date: it lands in the wrong month or year, and the GST for that month is wrong.
- No HSN or SAC code: the invoice prints incompletely, and the HSN summary in GSTR-1 has a gap.
- The same invoice number twice is refused, and numbers longer than 16 characters are flagged by the Books health check.
- Missing client GST number: the GST cannot be split and shows as "not split" in the returns.

5. Recording money from a client

Sales > Invoices > record a payment on the invoice

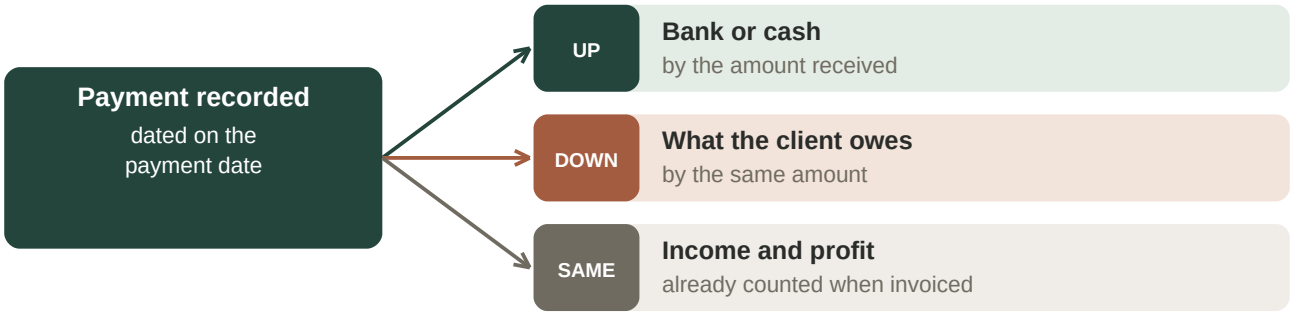
YOU TYPE

Payment date, amount, the bank account (or leave empty for cash), and a reference such as the cheque or transfer number. Two extra options exist: "Retention release", and "Of which GST released" for clients that release GST after proof.

WHAT THE APP DOES

- Money is added to the account you chose.
- What the client owes goes down by the same amount.
- If the payment is dated before the invoice, it is held as an advance from the client until the invoice exists, then set against it.
- If the client pays more than is due, the extra is shown in green and carried forward to be set against the next invoice.
- A payment marked "Retention release" reduces the retention held, not the due amount.
- For a GST-on-proof client, the part marked as GST reduces the GST held back.

WHAT CHANGES



REPORTS THAT CHANGE

Cash and bank, Receipts, Client ledger, Client report, Dashboard (outstanding and cash), Balance Sheet, Bank reconciliation.

EXAMPLE: ONE INVOICE, PAID IN PARTS

Take the invoice RA/MKC/12 from chapter 4. The client owes Rs. 5,51,000 now, and Rs. 29,000 retention is held.

Date	What happened	Cash	The client now
20 Oct	Client pays Rs. 3,00,000 into HDFC	Bank + 3,00,000	Client owes 2,51,000
12 Nov	Client pays Rs. 2,51,000	Bank + 2,51,000	Client owes 0
15 Jan	Client releases retention Rs. 29,000 (tick "Retention release")	Bank + 29,000	Retention held 0

WHAT THE BOOKS WRITE FOR THE FIRST PAYMENT

Account (in plain words)	Goes up	Goes down
Bank	3,00,000	
Money clients owe		3,00,000

Nothing in income or profit changes. The income was counted on 05 Oct, when the invoice was sent.

THREE SPECIAL CASES

- Client pays too much (say Rs. 5,60,000 against 5,51,000 due): the extra Rs. 9,000 shows in green and is carried forward to the next invoice.
- Client pays before you invoice (say Rs. 1,00,000 on 01 Oct for an invoice dated 05 Oct): it is held as an "advance from the client", and set against the invoice on its date.
- Client pays Rs. 5,00,000 and says "this includes GST proof": use the "Of which GST released" box to show how much of it was GST.

WATCH OUT

- Type what really reached the bank, which is after the client's TDS and retention. The invoice already accounts for those.
- Do not also record the receipt as income anywhere else. That would count it twice.
- A receipt on an invoice that is still Draft is flagged. Mark the invoice Sent first.

6. Credit notes and debit notes

Sales > Invoices > add a note on the invoice

A credit note makes an invoice smaller (a discount, a mistake, goods returned). A debit note makes it bigger. Either one is raised against a particular invoice, with its own date and reason.

WHAT THE APP DOES

- It works out the GST, TDS and retention for the note, in the same way as for an invoice.
- The invoice's total, GST, TDS and retention all change by that much. The invoice shows the new figures.
- It writes its own entry on the note's date.

WHAT CHANGES

- Credit note: income goes down, GST payable goes down, what the client owes goes down.
- Debit note: the opposite.
- Reports: Client ledger, Profit and Loss, GST return workings (in the credit and debit note table), GST and TDS register, Dashboard.

EXAMPLE: A CREDIT NOTE FOR A DISCOUNT

What you type	Example
Against invoice	RA/MKC/12
Amount before GST	Rs. 10,000
Reason	Agreed discount on site work
Rates	Same as the invoice: 18 percent GST, 2 percent TDS, 5 percent retention

WHAT THE BOOKS WRITE

Account (in plain words)	Goes up	Goes down
Revenue (income)		10,000
GST payable		1,800
Money clients owe		11,020
Retention held		580
TDS credit		200

Check: income and GST fall by 11,800 together, and the client side falls by 11,020 + 580 + 200 = 11,800. The invoice now shows Rs. 4,90,000 before GST.

WHY NOT JUST EDIT THE INVOICE?

An invoice that has already gone to the client and into a GST return should not change. A note keeps a clear trail, and it is what the GST return expects.

7. Recording a purchase: the supplier bill

Purchases > Procurements

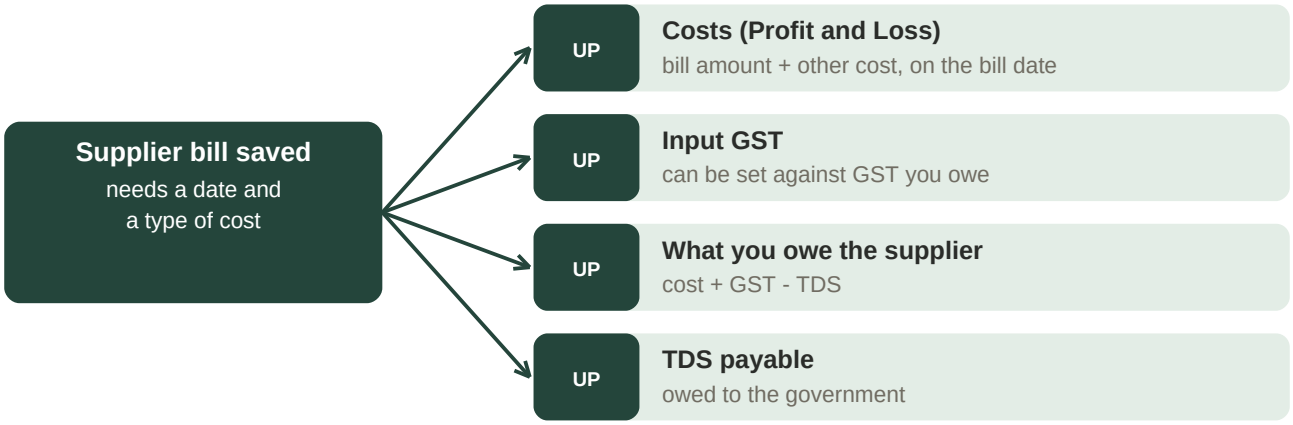
YOU TYPE

Project, vendor, the type of cost (the sub-head), bill date, the supplier's own invoice number and date, bill amount, GST rate, any other cost, and the TDS you are holding back.

WHAT THE APP DOES

1. The bill enters the books only when it has a date and a type of cost (sub-head). Without a sub-head the bill is saved but is not in any report except the lists, and the Books health check warns you.
2. The cost is the bill amount plus any other cost, placed under the sub-head's group, such as Materials or Transport, on the bill date.
3. GST on the bill is recorded as input GST, split into CGST, SGST or IGST using the supplier's GST number.
4. TDS you hold back is set aside to pay the government. The supplier is owed: cost + GST - TDS.

WHAT CHANGES



PAYING THE SUPPLIER

- On the bill, record the payment: date, amount and bank account. Partial payments are fine.
- The bank balance goes down, and what you owe the supplier goes down. Profit does not change, because the cost was counted on the bill.
- If an employee paid the supplier from their own pocket, choose "Reimbursement" as the payment mode. The bank does not move. Instead you now owe the employee, and the amount shows in Reimbursement due.
- TDS you deducted is paid to the government separately, by 7th of the next month. Record that with a journal voucher (chapter 12). The Books health check reminds you.

EXAMPLE 1: A SUPPLIER BILL WITH GST

What you type	Example

Vendor	Shree Steel Traders (Delhi)
Type of cost (sub-head)	Steel and reinforcement (Materials and Consumables)
Bill date	08 Oct 2026
Supplier invoice number and date	SST/2201 and 07 Oct 2026
Amount and GST rate	Rs. 1,00,000 and 18 percent
TDS	None

WHAT THE BOOKS WRITE

Account (in plain words)	Goes up	Goes down
Costs: Materials and Consumables	1,00,000	
Input GST (CGST 9,000 + SGST 9,000)	18,000	
Owed to suppliers	1,18,000	

Paying it on 25 Oct from the bank: Owed to suppliers falls 1,18,000 and Bank falls 1,18,000. The cost stays as it was.

EXAMPLE 2: A LABOUR CONTRACTOR BILL WITH TDS

What you type	Example
Vendor	Sharma Labour Contractor
Amount, GST rate	Rs. 50,000 and 18 percent (GST Rs. 9,000)
TDS deducted	1 percent of 50,000 = Rs. 500
You pay the contractor	50,000 + 9,000 - 500 = Rs. 58,500

WHAT THE BOOKS WRITE

Account (in plain words)	Goes up	Goes down
Costs: Employee and Labour	50,000	
Input GST	9,000	
Owed to suppliers	58,500	
TDS payable (owed to government)	500	

Check: 50,000 + 9,000 = 59,000 on one side, and 58,500 + 500 = 59,000 on the other. By the 7th of next month, deposit the Rs. 500 with the government (see chapter 12).

ITEMS ON A BILL

- A bill can list what was bought: item, quantity, unit and rate. With items, the bill value before GST is their total.

- Items only explain the bill. The cost, the GST, the TDS and what you owe the vendor are written exactly as before, once for the whole bill, so no report changes.
- Change the items later by editing the bill. Removing the bill removes its items.

A BILL MADE FROM A BANK PAYMENT

- In Bank reconciliation, "Record this" on a payment can make the bill and the payment in one step, and can add the vendor on the spot. Use it when you paid first and the bill was never entered.
- The bill value is worked back from what left the bank: the payment, less the GST on top, plus any TDS held back. The app shows the working before you save. If the payment is only part of a bigger bill, you type the whole bill value and the rest stays due.
- The bill is entered exactly as one typed in Procurements, so the cost, the input GST, the TDS and what you owe the vendor are written as in the examples above. The payment then moves the bank and clears what you owe.
- If the vendor already holds an advance, it is set against the new bill first, so the bank payment only clears what was still due. Any money left over is kept as a new advance.

PAYING BEFORE THERE IS A BILL: AN ADVANCE

- Record it under Procurements, "Advances to vendors", or from a bank statement line with "Record this". You choose the vendor, amount, date and the account paid from.
- It is money paid out, but it is not a cost. It sits on the Balance Sheet as "Advances to suppliers", an amount the vendor holds for you, and the bank goes down.
- When the vendor's bill is recorded, the app sets the oldest advance against it by itself, and only the rest is left to pay. It also does this if you record the advance after the bill.
- The set-off moves no cash. It shows in Payment records as "From advance". If you change or delete the bill or the advance, the app redoes the set-off.

WHAT THE BOOKS WRITE: AN ADVANCE OF RS. 20,000 FROM THE BANK

Account (in plain words)	Goes up	Goes down
Advances to suppliers	20,000	
Bank		20,000

Later a bill of Rs. 60,000 (no GST) is recorded for that vendor. The cost and the amount owed are written as in Example 1, and the advance is set against it:

WHAT THE BOOKS WRITE: THE ADVANCE USED AGAINST THE BILL

Account (in plain words)	Goes up	Goes down
Owed to suppliers	20,000	
Advances to suppliers		20,000

Rs. 40,000 is still owed to the vendor. Bank did not move at this step, because the cash went out when the advance was paid.

REPORTS THAT CHANGE

Profit and Loss, Vendor report and ledger, Purchase GST and TDS register, GST return workings (input credit), Project profitability, Expense breakdown, Balance Sheet (including Advances to suppliers), Dashboard (supplier dues), Cash and bank.

WATCH OUT

- Supplier without a GST number: the GST you were charged cannot be claimed, and the health check flags it.
- TDS on a supplier with no PAN: flagged, because a higher rate applies.
- The same supplier invoice number twice for one vendor is refused.

8. Recording an expense

Money > Expenses (Admin, Trips or Project), or a supervisor's claim

YOU TYPE

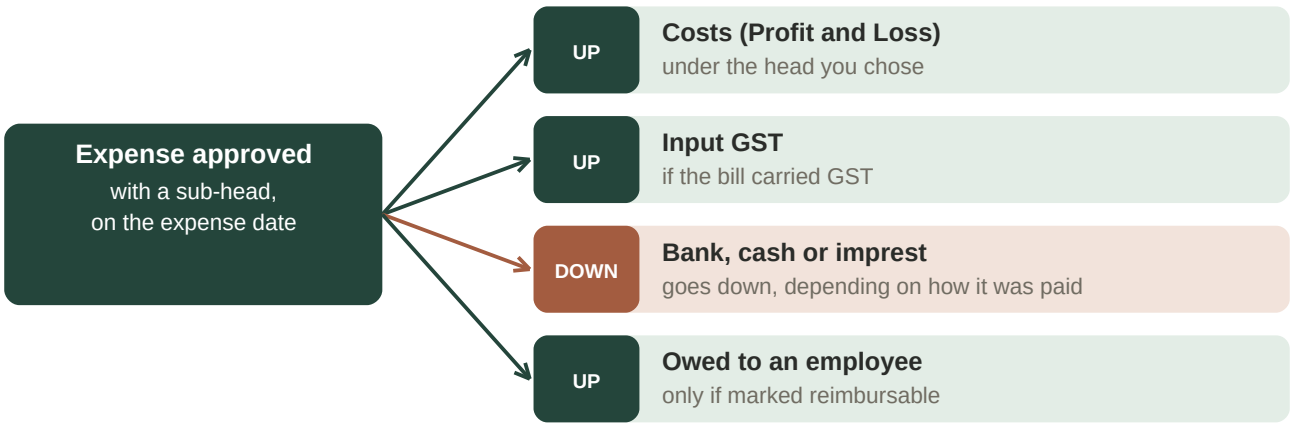
Cost centre, project, description, the head and sub-head, quantity, rate, any additional amount, date, whether the amount includes GST, the GST rate, and how it was paid.

WHAT THE APP DOES

- An expense entered by the office is approved at once. A claim sent by a supervisor waits as "pending" and counts for nothing until the office approves it. Rejected claims never count.
- Once approved, and with a sub-head, it becomes a cost on the expense date.
- GST on the expense, if any, is recorded as input GST.
- The other side depends on how it was paid:

How it was paid	What goes down
From a bank account or cash	Bank or cash goes down.
From the supervisor's advance (imprest)	The money the supervisor holds goes down.
Marked reimbursable (someone paid it from their own pocket)	You now owe that person. It shows in Reimbursement due until you pay them.

WHAT CHANGES



The cost goes up in the Profit and Loss, under the head you chose, in the right month. Project profitability and Expense breakdown show it under its project and group. The Dashboard's "expenses this month" counts approved expenses only.

EXAMPLE 1: AN OFFICE EXPENSE WITH GST

What you type	Example
Cost centre	Admin
Description and sub-head	Printer paper, Office stationery

Quantity x rate	10 reams x Rs. 450 = Rs. 4,500
GST	18 percent, entered as excluding GST: Rs. 810
Paid from	HDFC bank

WHAT THE BOOKS WRITE (APPROVED AT ONCE, ENTERED BY THE OFFICE)

Account (in plain words)	Goes up	Goes down
Costs: Office and Administration	4,500	
Input GST	810	
Bank		5,310

EXAMPLE 2: A SUPERVISOR CLAIM FOR SITE MATERIAL

What you type	Example
Project	Metro Station Landscaping
Description	40 bags of cement at Rs. 380
Amount	Rs. 15,200, no GST
Paid from	The supervisor advance (imprest)

At first this claim is pending, so it counts for nothing and no report shows it. After approval:

WHAT THE BOOKS WRITE

Account (in plain words)	Goes up	Goes down
Costs: Materials and Consumables	15,200	
Site imprest (the supervisor wallet)		15,200

WATCH OUT

- A pending claim is not in any report yet. If a supervisor says they sent it and you cannot find it, look in Approvals.
- No sub-head: the expense is listed, but is not in the books, so it is missing from the Profit and Loss.
- Pick the project. Without it, the cost cannot be shown against a project.
- If you leave the account empty, the app takes it as cash in hand.

9. Advance money for supervisors, and reimbursements

People > HR > Imprest, and Money > Expenses

Imprest: money a supervisor holds for site spending

Think of imprest as a wallet you hand to a supervisor. Handing it over is not a cost. The cost comes later, when they spend it.

Event	Money	Profit
You give an advance	Bank goes down. The supervisor's wallet goes up.	No change in profit.
Supervisor spends from it (an approved claim "from imprest")	The wallet goes down.	A cost is counted, on the expense date.
Supervisor returns cash	Bank goes up. The wallet goes down.	No change in profit.

- A supervisor's "Request Advance" waits as pending. It becomes a real entry only when the office approves it.
- The Site imprest ledger report shows each supervisor's wallet: advances in, spending and returns out, and the balance they still hold.
- An advance given for a named worker (not a supervisor) is treated as a salary advance, covered in chapter 10.

Reimbursements: paying someone back

- When a person spends their own money for the firm, the entry says "reimbursable". You owe them from that day.
- The Dashboard's Reimbursement due lists these.
- When you pay them back, record it as a reimbursement payment. The bank goes down and what you owe goes down. Profit does not change, because the cost was counted when the expense was approved.

EXAMPLE: ONE SUPERVISOR WALLET, START TO FINISH

Date	What happened	Money	Profit
1 Oct	Office gives Rs. 20,000 advance from the bank	Bank - 20,000, Wallet + 20,000	None
5 Oct	Supervisor spends Rs. 6,500 on cement (claim approved)	Wallet - 6,500	Cost + 6,500
8 Oct	Supervisor spends Rs. 3,500 on labour (claim approved)	Wallet - 3,500	Cost + 3,500

12 Oct	Supervisor returns the Rs. 10,000 left	Wallet - 10,000, Bank + 10,000	None

The wallet is now zero. The bank is down Rs. 10,000 net, and the profit and loss shows Rs. 10,000 of cost, exactly what was really spent.

EXAMPLE: PAYING BACK AN EMPLOYEE

Anil bought a courier for Rs. 2,400 with his own money, and the entry was marked reimbursable. At once, cost goes up 2,400 and Owed to employees goes up 2,400. When the office repays him by bank, Owed to employees falls 2,400 and Bank falls 2,400.

> **SUPERVISORS CANNOT APPROVE THEIR OWN MONEY**
> Only Admin or CXO can approve claims or reimbursements. The "Segregation of duties" report lists any that were approved by the person who made them.

10. People: attendance, salary and advances

People > HR

Attendance

Marking attendance records who worked, where and on which day. By itself, it does not change the books. It is the information that salary is worked out from.

Salary: two steps

Step	What happens	Reports
1. Wages for the period are worked out and saved	Wages become a cost on the last day of the pay period. You now owe the staff member.	Profit goes down. Cash does not move.
2. You pay the wages	What you owe the staff member goes down. Bank goes down by the cash actually paid.	No change in profit.

Salary advances

- An advance to a worker is money you are owed back. It is not a cost. The bank goes down and the worker's advance balance goes up.
- When you pay salary, you can recover part or all of the advance in the same payment. Then only the rest is paid in cash. The advance balance comes down by the amount recovered.
- The Salary advance ledger shows each person's advances and recoveries and what they still owe.

EXAMPLE: ONE WORKER, ONE MONTH

Mohan is paid Rs. 700 a day. He worked 26 days in October. On 10 October he took an advance of Rs. 5,000.

Date	What happened	Money	Profit
10 Oct	Advance given Rs. 5,000 from the bank	Bank - 5,000, Staff advances + 5,000	None
31 Oct	Wages saved for October: 26 x 700 = Rs. 18,200	Salaries payable + 18,200	Cost + 18,200
5 Nov	Pay the wages, recovering Rs. 3,000 of the advance	Salaries payable - 18,200, Staff advances - 3,000, Bank - 15,200	None

Mohan received Rs. 15,200 in cash, and Rs. 3,000 of his advance was settled. He still owes the firm Rs. 2,000 from the advance. October carries the full Rs. 18,200 labour cost, even though the cash went out in November.

REPORTS THAT CHANGE

Profit and Loss (Employee and Labour Costs), Salary advance ledger, Cash and bank, Balance Sheet (salaries payable and advances to staff), Dashboard.

> **CHECK BEFORE YOU CLOSE A MONTH**
> If the wages for a month were never worked out and saved, that month shows no labour cost and the profit looks too high.

11. Loans, capital and transfers

Money > Loans, Capital, Transfers

Loans

Event	What changes	Profit
You take a loan	Bank goes up. Loans payable goes up.	No change in profit. Borrowing is not income.
You repay a loan	Bank goes down by principal + interest. Loans payable goes down by the principal.	The interest part is a cost (Finance and Banking). The principal is not.

Record the principal and the interest separately on each repayment. This is how the Profit and Loss gets the interest cost right. The Loan report and Loan ledger show what is still owed.

Capital

Event	What changes	Profit
A partner puts money in	Bank goes up. Partners' capital goes up.	No change in profit.
A partner takes money out	Bank goes down. Partners' capital goes down.	No change in profit.

> **CAPITAL MAKES THE BALANCE SHEET HONEST**
> The money partners put in is not profit. If it is not entered here, the Balance Sheet shows it as accumulated profit. Enter every injection, with its real date.

EXAMPLE: A LOAN AND ITS FIRST REPAYMENT

On 1 October the firm takes a Rs. 5,00,000 loan at 12 percent. On 1 November it pays Rs. 20,000 of principal and Rs. 5,000 of interest.

Event	Cash	What we owe	Profit
1 Oct: loan received	Bank + 5,00,000	Loans payable + 5,00,000	None
1 Nov: repayment of 25,000	Bank - 25,000	Loans payable - 20,000	Interest cost + 5,000

The loan still owed is Rs. 4,80,000. Only the Rs. 5,000 of interest reduces profit. The Rs. 20,000 of principal is just giving back money that was borrowed.

EXAMPLE: CAPITAL

Partner Rakesh puts Rs. 10,00,000 into the HDFC account on 1 April. Bank goes up 10,00,000 and Partner capital goes up 10,00,000. If he later takes out Rs. 50,000, both go down by 50,000. Profit is not touched either time.

Transfers

A transfer moves money between your own places, such as cash to bank or one bank to another. One goes down and the other goes up by the same amount. Nothing is earned or spent, so no income, cost or profit changes. Cash and bank and the Bank reconciliation are the reports it touches.

EXAMPLE: A TRANSFER

The firm takes Rs. 50,000 out of the bank to keep as cash for small site costs. Record a transfer from HDFC to Cash. Bank goes down 50,000 and Cash in hand goes up 50,000. Nothing was earned or spent.

OTHER MONEY RECEIVED

Money that comes in for a reason other than a client payment, a loan, partner capital or a transfer is recorded on the Transfers screen, under "Other money received". The bank or cash goes up, and the other side depends on what it was.

WHAT THE BOOKS WRITE: A SECURITY DEPOSIT OF RS. 6,760 GIVEN BACK

Account (in plain words)	Goes up	Goes down
Bank	6,760	
Security Deposits (an asset we hold with others)		6,760

The deposit is simply returned, so profit does not change. For interest, a refund, scrap sold or other income, the second line is Other Income instead, and profit goes up by the same amount.

> **DO NOT USE A TRANSFER FOR A PAYMENT**
> Paying someone or receiving from someone is never a transfer. Use the receipt, payment or expense screens, or the money will not appear on the right person's ledger.

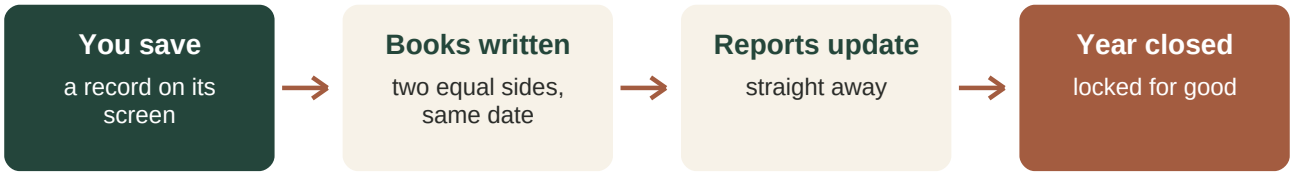
OPENING BALANCES

- An account’s opening balance is the money it already held on the day the books for it begin. It is entered once, under Reports > Opening and monthly balances.
- It is written as one entry: the bank (or Cash) goes up, and Opening Balance Equity, an account in the "what the firm owns" bucket, goes up by the same amount. Nothing in the Profit and Loss changes.
- Cash & bank, the Dashboard (and its 30-day trend), Bank reconciliation and the "below zero" health check count an account only from the date of its opening balance: the opening balance plus every entry dated on or after that day. Older entries stay saved and open from their own screens, but they are not counted. In Bank reconciliation the opening balance is treated as already confirmed, because the statement shows a balance, not a line.
- An account with no opening balance is left out of Cash & bank and shown as "Opening balance not set". The health check lists it as a warning. The Balance Sheet, client outstanding, retention, vendor dues and the Profit and Loss are not affected: they still use every entry.
- The "Start the books from" button in Step 2 moves an account's opening balance back to the first day of a typed month, using that month's typed balance. The monthly check works from the opening balance in both directions, forward for later months and backward for earlier ones, so months can be checked newest first.

- The month-start balances typed on the same page are never written to the books. They are a check: the statement's balance at the start of a month, plus what the books moved that month, should equal the statement's balance at the start of the next month.

12. Fixing mistakes, vouchers and closing the year

The life of an entry



If you edit the record, the middle two steps simply happen again. Once the year is closed, the loop stops: nothing dated inside it can be changed.

Editing and deleting a record

- Open the record and change it. The app removes the old entry and writes a new one, so the reports are right straight away.
- Delete the record and its entry goes with it.
- Every edit and delete is kept in the Audit log: who, when, and what it looked like before.
- You cannot edit or delete anything dated in a closed year.
- Only Admin can delete some records, such as expenses and imprest entries.

Journal vouchers: the one place you write the books directly

Some events have no screen of their own. For these, Admin or CXO can post a manual voucher from Reports > Journal vouchers. You pick the accounts and amounts yourself. Both sides must be equal, or the app refuses it.

Typical use	What it does
Paying GST to the government	Reduces GST payable. Bank goes down.
Depositing TDS you deducted	Reduces TDS payable. Bank goes down.
Writing off a bad debt	Reduces what the client owes. Adds a cost.
Correcting an old entry	In a way the normal screens cannot.

> **NAME THE BANK ON A BANK LINE**
> When a voucher line uses the Bank account (for example paying GST from Kotak), choose which bank it is for. The voucher cannot be posted without it. This is what makes the payment appear in that bank's balance and in its reconciliation.

USE VOUCHERS SPARINGLY

Anything with its own screen should be recorded there. A voucher is not tied to an invoice or a bill, so it will not follow if the record is later edited.

EXAMPLE: PAYING GST TO THE GOVERNMENT

Using the worked example in chapter 13: Rs. 18,000 GST collected, Rs. 3,600 paid on purchases. Two vouchers settle it.

Voucher	One side	The other side
1. Set off the input GST	GST payable - 3,600	Input GST - 3,600
2. Pay the rest on the portal	GST payable - 14,400	Bank - 14,400

After both, GST payable is zero and the Balance Sheet no longer shows a GST liability. The TDS you kept back from suppliers is paid in the same way: TDS payable goes down and Bank goes down.

Closing the year

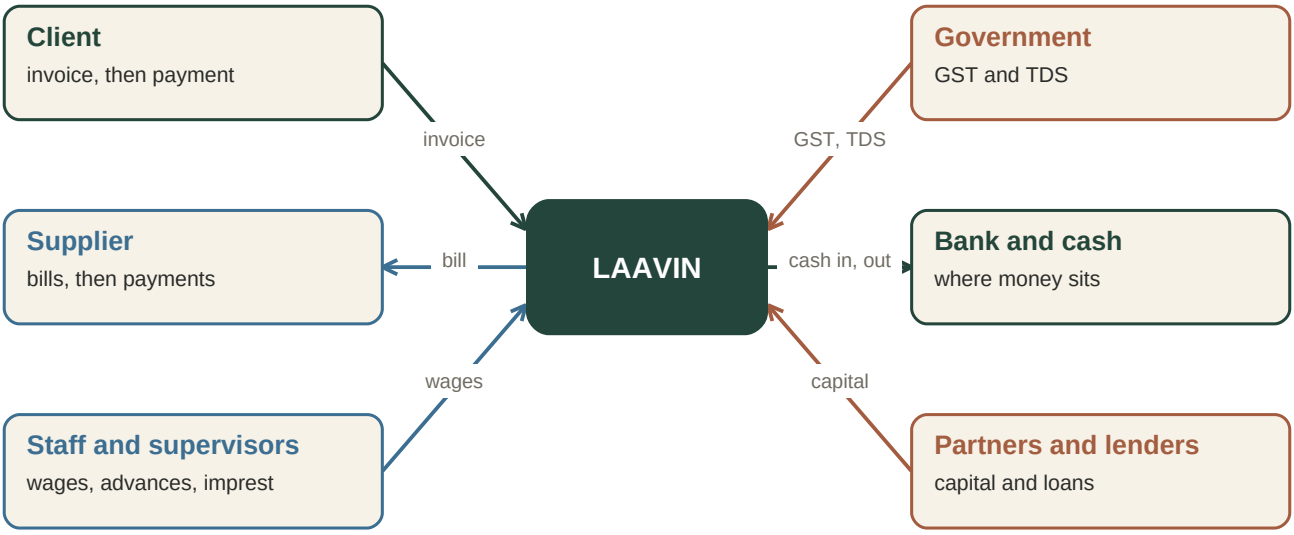
Closing locks everything dated up to a chosen date (normally 31 March). After that, no entry can be added, changed or removed, in any screen. This protects the finished accounts. Do it only after the Balance Sheet balances and the Books health check is clean.

13. A worked example, with numbers

Follow one small business through five entries and watch the reports move.

Laavin has put in no capital yet, and the bank is empty. All rates below are examples.

Who money moves between



The five entries

1. Send an invoice of Rs. 1,00,000 before GST, with 18 percent GST, 2 percent TDS and 10 percent retention.
2. The client pays what is due: Rs. 1,04,400 into the bank.
3. Record a supplier bill for materials: Rs. 20,000 plus 18 percent GST (Rs. 3,600). Total Rs. 23,600.
4. Pay that bill in full from the bank.
5. Record an approved office expense of Rs. 5,000, paid from the bank, with no GST.

The numbers the app works out for entry 1

Item	Amount
GST (18 percent of 1,00,000)	Rs. 18,000
TDS (2 percent of 1,00,000)	Rs. 2,000
Total payable (1,00,000 + 18,000 - 2,000)	Rs. 1,16,000
Retention (10 percent of 1,16,000)	Rs. 11,600
Due from the client now (1,16,000 - 11,600)	Rs. 1,04,400

After each entry

Entry	What moved
1. Invoice sent	Income +1,00,000. Client owes 1,04,400. Retention held 11,600. TDS credit 2,000. GST payable 18,000.
2. Client pays	Bank +1,04,400. Client owes 0. Income unchanged.
3. Supplier bill	Cost +20,000. Input GST +3,600. You owe the supplier 23,600.
4. Pay the bill	Bank -23,600. You owe the supplier 0. Cost unchanged.
5. Office expense	Cost +5,000. Bank -5,000.

What the reports now say

Report	Shows
Profit and Loss: income	Rs. 1,00,000 (the GST and the TDS are not income)
Profit and Loss: costs	Rs. 25,000 (20,000 materials + 5,000 office)
Profit and Loss: profit	Rs. 75,000
Cash and bank	Rs. 75,800 (1,04,400 - 23,600 - 5,000)
Client due	Rs. 0, with Rs. 11,600 retention still held
GST to pay the government	Rs. 14,400 (18,000 collected - 3,600 paid on the purchase)
Tax credit with TDS	Rs. 2,000 to claim back

And the Balance Sheet agrees

What the firm has		What it owes, and the partners' share	
Bank	Rs. 75,800	GST payable	Rs. 18,000
Retention held	Rs. 11,600	Profit for the year	Rs. 75,000
TDS credit	Rs. 2,000		
Input GST	Rs. 3,600		
Total owned	**Rs. 93,000**	**Total owed and partners' share**	**Rs. 93,000**

BOTH SIDES ARE EQUAL: 93,000 AND 93,000

This is not luck. Every entry is written with two equal sides, so the Balance Sheet always balances. If it ever does not, the Books health check will say where.

14. Which report reads what

Use this chapter to find out why a report shows what it shows.

One entry, many reports

Read across a row to see every report that one kind of entry changes.

	Profit and Loss	Balance Sheet	Client ledger	Vendor ledger	Cash and bank	GST workings	Project profit	Dashboard
Invoice (Sent)	●	●	●			●	●	●
Client payment		●	●		●	○		●
Credit or debit note	●	●	●			●	●	●
Supplier bill	●	●		●		●	●	●
Supplier payment		●		●	●			●
Expense (approved)	●	●			●	○	●	●
Salary and advances	●	●			●			○
Loan	○	●			●			○
Capital		●			●			○
Transfer					●			○
Journal voucher	○	●	○	○	○	○		○

● changes the report directly ○ changes it in a smaller way (detail, a ledger line, or a warning)

Where each report gets its numbers

Report	Where its numbers come from
Profit and Loss	The books. Income on the invoice date, costs on the date of the bill or approved expense. Only Sent invoices and approved, categorised costs.
Balance Sheet	The books, as at one date. It also shows the year before.
Trial balance	The books. Every account's total, as of now.
Client ledger and client report	The books and the invoice list. What each client was billed, paid and still owes, with retention shown apart.
Vendor ledger and vendor report	The books and the bill list. Bills, payments and what is still owed.
Cash and bank	The books. Every move through cash and each bank account.

Project profitability	The invoice list against the expense and bill lists, by project. Needs a project on every entry.
Expense breakdown	The expense list, grouped by cost centre.
GST and TDS register, GST return workings, GST release statement	The Sent invoices and notes, and the purchase bills, split by state.
Financial summary and GST summary	The lists of Sent invoices, bills and payments for the period, and approved expenses. Drafts and pending claims are left out.
Imprest, salary advance, loan and partner ledgers	The books, filtered to one person or loan.
Dashboard	Mostly the books and lists as they stand today. Cards open the page behind them.
Books health check	Checks that the books and the records agree, and lists anything incomplete.
Audit log	A record of every edit and delete.

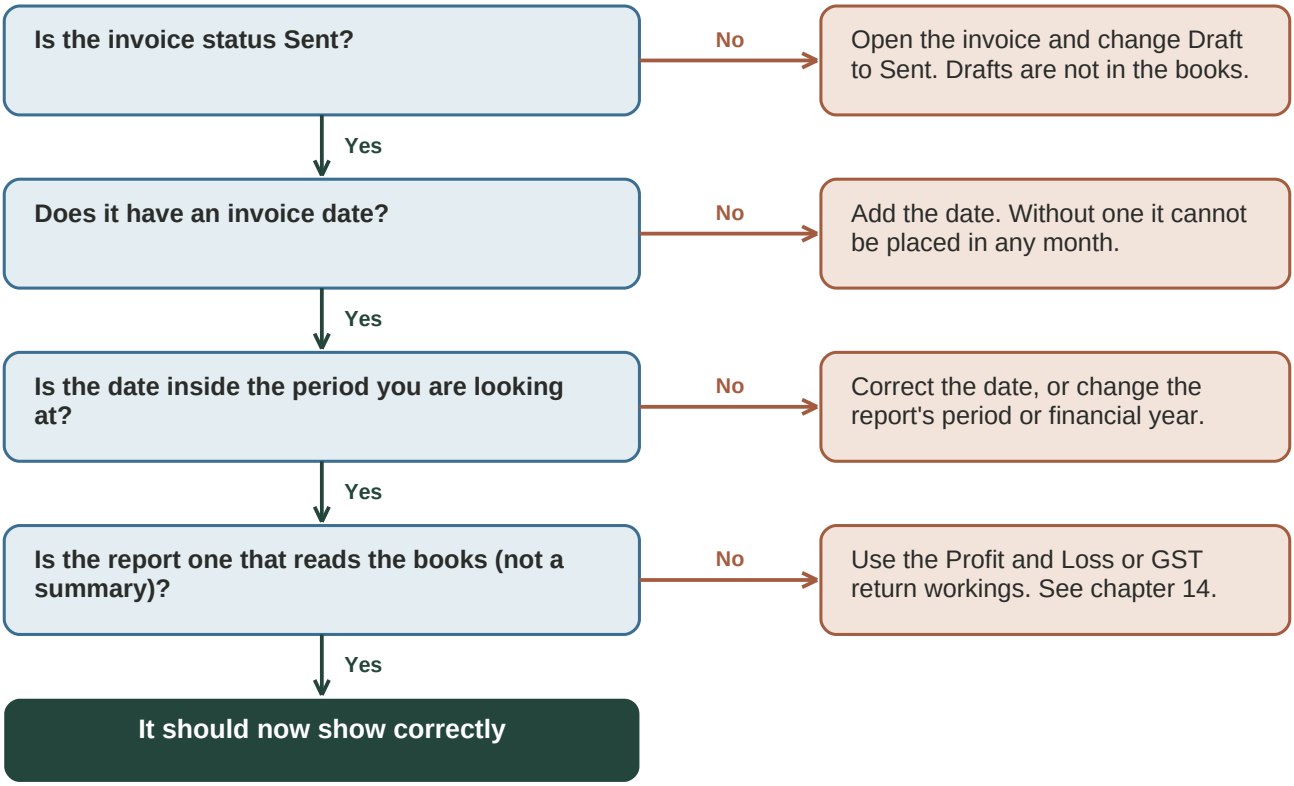
Reading the Books health check

Open it after any big entry session. It tells you in plain lines: an entry that does not balance, a Sent invoice missing from the books, a bill with no sub-head, cash below zero, an invoice number used twice, missing GST or PAN numbers, TDS not yet deposited. Fix the red ones first. The amber ones are things to do. The blue ones are for your information.

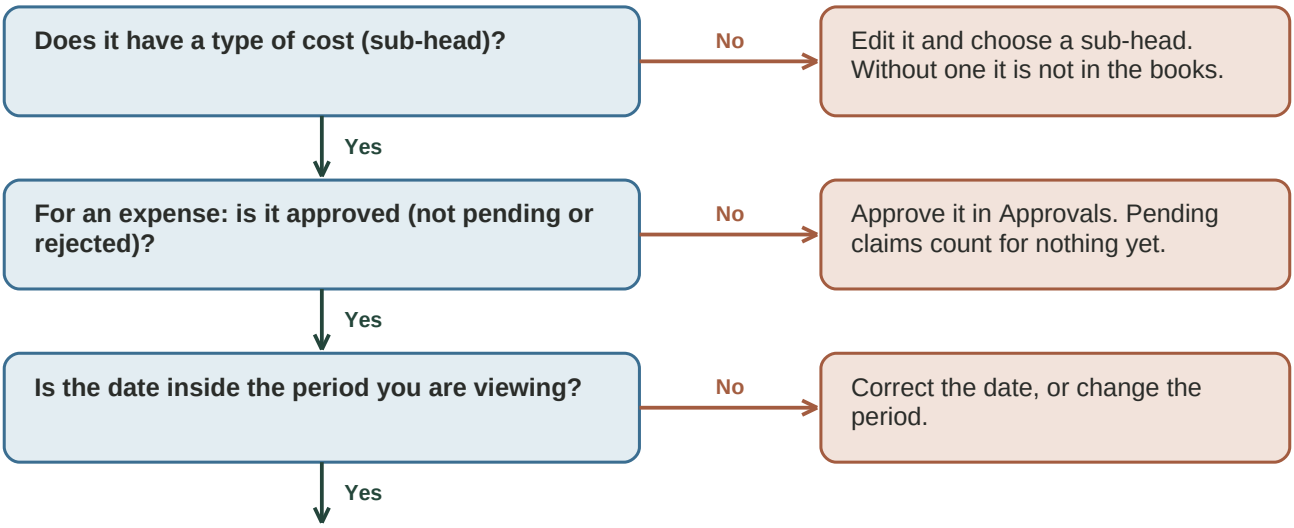
15. Why two numbers may not match

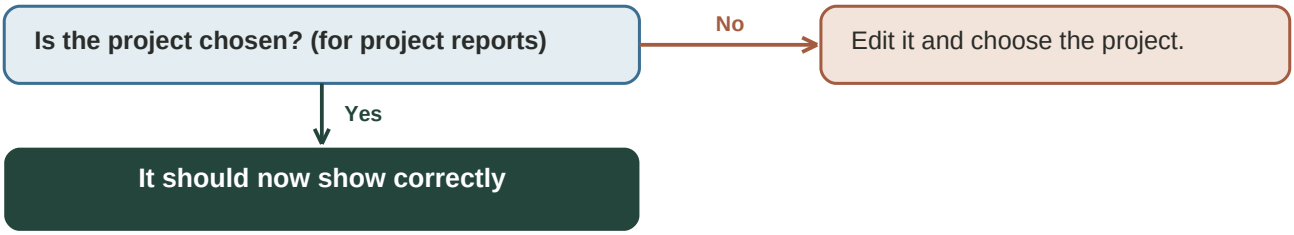
Most differences have a simple reason. Follow the flowcharts first, then use the table.

"My invoice is missing from income or the GST return"



"My bill or expense is missing from the Profit and Loss"





Quick table

You see	The usual reason
An invoice is missing from income and the GST return	It is still Draft, or has no date. Mark it Sent.
A bill or an expense is missing from the Profit and Loss	It has no sub-head, or (for an expense) it is still pending or was rejected.
A figure is in the wrong month	The date on the record is wrong. Open the record and correct it, if the year is not closed.
Financial summary or GST summary differs from the GST workings	Both count only Sent invoices and their credit and debit notes. If they still differ, the period or the invoice dates are different. Check the dates.
Client "outstanding" lower than invoiced less paid	Retention is held apart and not counted as due. For GST-on-proof clients, held GST is also kept out of due.
Bank balance differs from the statement	Run the Bank reconciliation. Usually a cheque or deposit that has not cleared, or a missed entry.
GST shows as "not split"	Your own GST number, or the client's or supplier's, is missing in Settings.
Cash in hand looks odd	Entries with no bank account chosen go to cash in hand. Choose the real account.
Cannot change an entry	The year is closed up to a date after it. Ask the Admin.
A supervisor's claim is not in the reports	It is still pending in Approvals.

16. Reading the reports, line by line

Here are the main reports, filled in with the numbers from the worked example in chapter 13, with a note on every line.

Profit and Loss

Line	Amount (Rs.)	Where it comes from
Revenue from operations	1,00,000	The invoice amount before GST. GST is not income.
Total income	1,00,000	
Materials and Consumables	20,000	The supplier bill, before the GST on it.
Office and Administration	5,000	The approved office expense.
Total expenses	25,000	Both costs added.
Net profit for the year	**75,000**	**Income minus costs. TDS and GST are not here.**

A second column on the real report shows the year before, so you can see if you are doing better or worse.

Balance Sheet

Line	Amount (Rs.)	What it is
Partners share: profit for the year	75,000	The profit above. Capital shows here too once entered.
GST payable	18,000	GST collected on the invoice. Owed to the government.
Total: what we owe and the partners share	93,000	
Balances with banks	75,800	Receipts less payments (1,04,400 - 23,600 - 5,000).
Retention money receivable	11,600	Held back by the client.
Tax deducted at source (receivable)	2,000	The TDS credit.
GST input credit	3,600	GST paid on the supplier bill.
Total: what we own	93,000	Equals the other side.

The sheet ends with a green message saying it balances. If it is red, it says by how much it is out.

Client ledger for invoice RA/MKC/12 (from chapter 4 and 5)

Date	Particulars	Invoiced (due)	Received	Balance
05 Oct	Invoice RA/MKC/12	5,51,000		5,51,000
20 Oct	Payment received		3,00,000	2,51,000
12 Nov	Payment received		2,51,000	0

The Rs. 29,000 retention is shown on its own line in blue, with its release date, so it is never mistaken for an overdue amount. After the client releases it on 15 Jan, it drops to zero.

Trial balance

Every account, with the total that went up and the total that went down. The two totals must match.

Account	Debit	Credit
Bank	1,04,400	28,600
Money clients owe	1,04,400	1,04,400
Retention held	11,600	
TDS credit	2,000	
Input GST	3,600	
Owed to suppliers	23,600	23,600
GST payable		18,000
Revenue		1,00,000
Materials and Consumables	20,000	
Office and Administration	5,000	
Total	**2,74,600**	**2,74,600**

Both columns come to Rs. 2,74,600. That equality is the proof that every entry was written with two equal sides.

Cash and bank

Entry	Money in	Money out	Running balance
Client payment	1,04,400		1,04,400
Supplier payment		23,600	80,800
Office expense		5,000	75,800

GST return workings (GSTR-3B box)

	CGST	SGST	Note
Tax on your sales	9,000	9,000	CGST and SGST, same state
Input credit from purchases	1,800	1,800	Half and half
Tax to pay	7,200	7,200	Total Rs. 14,400

Dashboard cards

Card	What it tells you
Outstanding from clients	What clients owe you now, after retention and any GST held back. In the example: 0.
Retention held	Shown next to it, so you can see the money you are waiting for.
Expenses this month	Approved expenses dated in this month.
Cash and bank	The total across cash and every bank account.
Needs attention	Overdue invoices, claims waiting for approval, advances outstanding. Each opens the page behind it.

17. Questions beginners ask

Question	Answer
Why is my profit not equal to my bank balance?	Profit counts work done and bills received. The bank counts only money that moved. Unpaid invoices raise profit but not cash. Unpaid bills lower profit but not cash. Capital and loans raise cash but not profit.
Why does an unpaid invoice already count as income?	Because the work is done and the client owes you. The standard rule is to count income when it is earned, not when it is paid.
Why is GST not my income?	You hold it for the government. If it were income, your profit would look 18 percent too high.
Why is the TDS not a cost?	It is tax already paid for you. You get it back as a credit, so nothing is lost.
Why is retention shown separately?	It is not overdue and not yours to collect yet. Mixing it into the due amount would make clients look late when they are not.
What if I enter the same invoice twice?	The app refuses the same invoice number. For other entries, check the list first. If it happened, delete one and the books will correct themselves.
Can I undo a mistake?	Edit the record, or delete it. The books follow at once. Every change is logged in the Audit log. Entries in a closed year cannot be changed.
I marked an invoice Sent by mistake. What now?	Change it back to Draft, if it has no payments recorded. The income, GST and client balance disappear from the reports.
What is the "Books health check"?	A checklist the app runs on itself. It lists anything that looks wrong or incomplete: missing GST numbers, bills with no cost type, cash below zero, TDS not yet deposited.
Do I need to know debit and credit?	No. You fill in screens in plain words, and the app writes the entries. The words appear only in the Trial balance.
Why can I not see a page my colleague can?	Each role sees only the pages it needs. Supervisors see their own work. The office sees everything. Ask the Admin if you think you need more.

18. Test yourself

Try these before turning the page. The answers are at the end of this chapter.

1. You send an invoice of Rs. 2,00,000 plus 18 percent GST, with no TDS and no retention. How much is the income? How much does the client owe?
2. The client pays the whole amount. What happens to the income?
3. You record a supplier bill of Rs. 50,000 plus 18 percent GST. By how much does your profit fall?
4. You pay that bill. By how much does your profit fall now?
5. A supervisor sends a claim for Rs. 4,000 and it is still pending. What does the Profit and Loss show for it?
6. You give a supervisor Rs. 10,000 as an advance. How much is the cost?
7. A client holds back 5 percent retention on an invoice of Rs. 1,00,000 (no GST, no TDS). How much is due now?
8. Your Balance Sheet shows a red message "out by Rs. 500". Where do you look first?

Answers

Q	Answer
1	Income Rs. 2,00,000. The client owes Rs. 2,36,000 (2,00,000 + 36,000 GST).
2	Nothing. The income was counted when you sent the invoice. Only the bank goes up and the client owes zero.
3	Rs. 50,000. The GST of Rs. 9,000 is input GST, not a cost.
4	Nothing more. The cost was counted when the bill was recorded.
5	Nothing. A pending claim is not in the books until approved.
6	Rs. 0. An advance is a wallet, not a cost. Cost appears when the supervisor spends it.
7	Rs. 95,000. The Rs. 5,000 retention is held and not counted as due.
8	The Books health check. It names the entry that does not balance or the record that is missing.

19. Ten golden rules

1. Record each thing once, in the screen made for it.
2. Check the date before you save.
3. Choose the project and, for bills and expenses, the sub-head. They decide where the cost shows.
4. Choose the bank account. An empty account means cash in hand.
5. Mark invoices Sent only when they really go to the client. A Draft counts for nothing.
6. Record the promise (invoice, bill) and the payment (receipt, payment) as separate entries.
7. Never record GST, TDS or retention as income, or a loan as income.
8. Fix mistakes by editing the record, not by adding a second entry on top.
9. Fill in GST and PAN numbers for clients and suppliers once, in Settings.
10. Open the Books health check regularly, and always before closing a month or year.

Words used in this guide

Word	Meaning
The books	The company's accounts, which the app writes for you from every record.
Entry	One line written in the books, always with two equal sides.
Sub-head	The type of cost, such as cement, fuel or stationery. It decides which group of costs it joins.
Input GST	GST you paid on purchases, which you can set against the GST you collected.
GST payable	GST you collected on invoices and owe to the government.
TDS receivable	Tax a client kept back for you. You claim it as credit.
TDS payable	Tax you kept back from a supplier, which you owe to the government.
Retention	A share of an invoice the client holds until the work is complete.
Imprest	Money handed to a supervisor to spend on site.
Accrue	To count a cost or income on its own date, before the money moves.
Closing the year	Locking all entries up to a date so they cannot be changed.

More words you may meet

Word	Meaning
Accounts Receivable	Money clients owe you.
Accounts Payable	Money you owe suppliers.

Ledger	The list of all entries for one person, project or account, with a running balance.
Journal	The list of entries, in the order they were made.
Trial balance	A list of every account with its debit and credit totals. The two totals must match.
Balance Sheet	A photograph of the business on one day: what it owns, owes, and the partners share.
Profit and Loss	A film of a period: income, costs and the profit left.
Reconciliation	Checking two records agree, usually your books and the bank statement.
Accrual	Counting income or a cost on the day it belongs to, not the day money moves.
Draft	A rough copy that does not touch the books.
Sub-head	The type of cost, such as cement or fuel.
Cost centre	A broad group of spending: Admin, Trips or Project.
GSTR-1, GSTR-3B, GSTR-2B	GST forms: the list of your sales, the monthly summary and payment, and the list of your purchases reported by suppliers.
Form 26AS	A statement on the income tax website showing all tax deposited in your name, including TDS from clients.
Audit log	A record of every edit and delete: who, when and what it was before.